**AFRICAN SOLIDARITY CIVIC ORGANISATION (ASCO)**

Registered NPC: 2026/521895/08 | Tax Reference: 9322812265
49 Rif Road, Manor Gardens

SARS PBO Exemption: 930092287 | Section 18A approved effective: 9 October 2026

Durban, KwaZulu-Natal

4001
info@africansolidaritycivic.org | www.africansolidaritycivic.org

# RESTRICTED DONATION AND PROJECT FUND MANAGEMENT PROCEDURE

| Document Control | Details |
|---|---|
| Document title | Restricted Donation and Project Fund Management Procedure |
| Document number / reference | ASCO-DON-PROC-009-2026 |
| Version | 1.0 |
| Effective date | 12 October 2026 |
| Approval authority | ASCO Board of Directors |
| Approved by | To be completed in the Board approval register |
| Review date | 16 September 2027 |
| Document status | Final — adoption-ready |
| Owner / responsible function | Executive Director; Finance and Procurement Committee; Board oversight |

ASCO is a South African Non-Profit Company registered under CIPC number 2026/521895/08, with SARS income tax reference 9322812265, and its public address at 49 Rif Road, Manor Gardens, Durban, KwaZulu-Natal, 4001. ASCO is an approved Public Benefit Organisation (SARS PBO Reference No. 930092287). ASCO is approved to issue Section 18A tax-deductible donation receipts effective 9 October 2026, subject to the Income Tax Act, SARS requirements and ASCO's receipt-control procedures. Receipts may be issued only for qualifying donations used solely for ASCO's approved Section 18A public benefit activities.

Updated: 27 October 2026 — SARS PBO and Section 18A approval status harmonised from the approval letter dated 26 October 2026.

The Board governs; Executive Management manages. The Founder/Founding Chairperson, Ms Busisiwe Makhosi Shandu, provides institutional oversight and does not sign, approve, initiate, co-authorise or control ASCO financial documents or transactions. Operational financial authority rests within the Board-approved delegation framework, including the Executive Director, Finance and Procurement Committee and authorised financial signatories.

## 1. Purpose

This procedure governs acceptance, recording, budgeting, spending, reporting and closure of restricted and designated donations while preserving the Board's governance authority and ASCO's independence.

## 2. Categories

| Category | Meaning | Control |
|---|---|---|
| Unrestricted | Available for ASCO's lawful objectives. | Board-approved budget and ordinary controls. |
| Restricted | Accepted in writing for a defined project, programme, place, beneficiary group or purpose. | Written terms, separate tracking, purpose-only expenditure and donor reporting. |
| Conditional | Dependent on a stated event, milestone or condition before use. | Do not spend until condition is verified and acceptance approved. |
| Designated | Donor expresses a preference but ASCO has not accepted a binding restriction in writing. | Record preference; confirm ASCO discretion before acceptance. |

## 3. Acceptance of Restrictions

1. Assess whether the restriction is lawful, achievable, measurable, consistent with ASCO objectives and administratively proportionate.
2. Confirm no donor control or improper private benefit.
3. Record the restriction in the donation register and agreement.
4. Assign a project/fund code and responsible programme owner.
5. Obtain approval before acknowledging the gift as restricted.

## 4. Fund Management

- Maintain a separate accounting code or fund schedule for each material restriction.
- Spend only on permitted costs supported by invoices, approvals and procurement records.
- Do not transfer restricted funds between projects without written donor agreement or a lawful ASCO decision under the accepted terms.
- Monitor budget, commitments, expenditure, balance, deliverables and reporting deadlines monthly.

- Report restricted-fund status to the Executive Director monthly and Committee quarterly.

## 5. Underspend, Overspend and Closure

Underspend is reported and carried forward only if terms permit. Overspend requires corrective action and cannot be funded by restricted money outside its purpose. At project closure, the Executive Director prepares a final fund statement. Any unspent balance is handled according to the agreement; if silent or impossible, seek donor clarification and Board/Committee direction without creating an improper benefit.

## 6. Changes and Termination

Material changes to purpose, budget, timetable, beneficiaries or deliverables require documented review and donor consent where required. A donation may be returned only under authorised terms and with payment, accounting and register records.

## 7. References

Related documents: ASCO Donations and Refunds Policy 2026; Delegation of Authority and Financial Management Policy 2026; Privacy and POPIA Notice 2026; PAIA Manual 2026; Safeguarding and Complaints Policy 2026; Board Charter 2026; Constitution 2026; Memorandum of Incorporation 2026; PBO Motivation 2026; Public Benefit Activities 2026.

## Approval and Adoption

This document is complete and adoption-ready. It becomes an approved ASCO operational instrument when adopted through a properly recorded Board resolution or approval register entry. No approval, meeting or signature is represented as having occurred by this document alone.

| | |
|---|---|
| **CHAIR LADY**<br>**Ms. Busisiwe Makhosi Shandu**<br>Signature: _____<br>Date: **2 October 2026**<br>_____ | **DIRECTOR: HEAD OF ICT AND COMMUNICATIONS**<br>**Mr. Thapelo Nelson Maqalika**<br>Signature: _____<br>Date: **2 October 2026**<br>_____ |

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**EXECUTIVE DIRECTOR**
**Mr. Bhekisisa Shandu**
Signature: _____
Date: **2 October 2026**
_____

**DIRECTOR: PEOPLE AND CULTURE / CHAIRPERSON: FINANCE AND PROCUREMENT COMMITTEE**
**Mr. Khulekani Gumede**
Signature: _____
Date: **2 October 2026**
_____